

C237

Taxation I

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

For a teaching exercise, a tax preparer with a busy downtown practice uses this simple schedule: 10% on the first \$20,000 of taxable income, 20% on the next \$30,000, and 30% on income above \$50,000. Her client, a nurse who just bought a condo, has taxable income of \$70,000. What is the client's average tax rate?

- A. 30%
- B. 20%
- C. 11.4%
- D. 10%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

A taxpayer's top marginal rate is 30% and average rate is 20%. She earns an extra \$1,000 of taxable income that stays in the same bracket. How much additional tax does she owe?

- A. \$1,000
- B. \$500
- C. \$200
- D. \$300

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

3.

A married software engineer in the 24% bracket, who files electronically and recently switched banks, can qualify for either a \$2,000 deduction or a \$2,000 credit, but not both. Which saves more tax, and by how much?

- A. The deduction, by \$1,520.
- B. The credit, by \$1,520.
- C. They save the same, \$2,000 each.
- D. The credit, by \$480.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

4. [TRANSFER — reversed stem / different variable]

A taxpayer in the 24% bracket wants to know how large a deduction would save the same tax as a \$600 credit. What deduction amount is needed?

- A.** \$2,500
- B.** \$744
- C.** \$600
- D.** \$144

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A single teacher's standard deduction this year is \$15,000. She paid \$8,000 in mortgage interest, \$6,000 in deductible state and local taxes, and gave \$2,500 to a qualified charity. She also spent \$4,000 on a new laptop for personal use and adopted a rescue dog. What total deduction should she claim?

- A.** \$31,500 by claiming both.
- B.** \$15,000 standard deduction.
- C.** \$16,500 by itemizing.
- D.** \$20,500 by itemizing, including the laptop.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A graphic designer who lives in a lakeside town had gross income of \$90,000. She made a \$6,000 deductible traditional IRA contribution, paid \$2,000 of deductible student loan interest, and paid \$9,000 of mortgage interest. She also received a \$500 gift from her aunt. What is her adjusted gross income?

- A.** \$73,000
- B.** \$84,000
- C.** \$82,000
- D.** \$82,500

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A sole proprietor who runs a popular food truck reported \$50,000 of net profit on Schedule C. He works about 60 hours a week and bought a new truck wrap this year. He has no wages from other jobs. What is his self-employment tax?

- A. About \$3,532
- B. \$3,825
- C. \$7,650
- D. About \$7,065

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A retired couple who winter in Arizona has a tax liability of \$1,200 before credits and no withholding. They qualify for a \$2,000 nonrefundable credit. Their accountant has prepared their returns for twenty years. What is the result?

- A. Tax owed of \$800.
- B. Tax owed of \$1,200.
- C. An \$800 refund.
- D. Tax owed is \$0 with no refund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A taxpayer owes \$1,200 before credits, had no withholding, and qualifies for a \$2,000 refundable credit. What is the outcome?

- A. An \$800 refund.
- B. Tax owed is \$0 with no refund.
- C. A \$3,200 refund.
- D. A \$2,000 refund.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A junior tax researcher at a mid-sized CPA firm with offices in three states is answering a client's question about deducting home office expenses. She has found a well-known tax treatise, a revenue ruling, a private letter ruling issued to another taxpayer, and the relevant Internal Revenue Code section. Which source carries the most authority?

- A.** The Internal Revenue Code section.
- B.** The tax treatise.
- C.** The private letter ruling.
- D.** The revenue ruling, since the IRS always prevails.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

An investor who follows a popular finance podcast bought shares of a tech company on January 5 and sold them on November 20 of the same year for a \$4,000 gain. The company had just announced record earnings. How is the gain taxed?

- A.** Tax-free, since it was under \$5,000.
- B.** As a short-term gain at ordinary income rates.
- C.** As ordinary income only if earnings were a record.
- D.** As a long-term gain at preferential rates.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A taxpayer wants a stock gain to qualify for long-term capital gain rates. What holding period is required?

- A.** Exactly one year or less.
- B.** At least six months.
- C.** More than one year.
- D.** More than five years.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

For a teaching exercise, a tax preparer ~~with a busy downtown practice~~ uses this simple schedule: 10% on the first \$20,000 of taxable income, 20% on the next \$30,000, and 30% on income above \$50,000. Her client, ~~a nurse who just bought a condo~~, has taxable income of \$70,000. What is the client's average tax rate?

Target word: average rate **Decides:** Total tax \$14,000 / \$70,000.

A	Confusion set	That is the marginal rate on the last dollar, not the average.
B	Correct	$\$2,000 + \$6,000 + \$6,000 = \$14,000$; $\$14,000 / \$70,000 = 20\%$.
C	Dropped element	Leaves out the \$6,000 of tax on income above \$50,000: $\$8,000 / \$70,000$.
D	Wrong stem number	The lowest bracket rate.

2. Answer D Concept 1 · transfer

A taxpayer's top marginal rate is 30% and average rate is 20%. She earns an extra \$1,000 of taxable income that stays in the same bracket. How much additional tax does she owe?

Target word: tax on the next dollars **Decides:** Extra income is taxed at the marginal rate.

A	Wrong stem number	The extra income, not the tax on it.
B	Inverted operation	Adds the two rates instead of using the marginal rate alone.
C	Confusion set	Uses the average rate; additional income is taxed at the marginal rate.
D	Correct	$\$1,000 \times 30\% \text{ marginal rate} = \300 .

3. Answer B Concept 2

A married software engineer in the 24% bracket, ~~who files electronically and recently switched banks~~, can qualify for either a \$2,000 deduction or a \$2,000 credit, but not both. Which saves more tax, and by how much?

Target word: compare deduction and credit **Decides:** Deduction saves $\$2,000 \times 24\%$; credit saves \$2,000.

A	Inverted operation	Right gap, wrong winner.
B	Correct	Credit saves \$2,000; deduction saves \$480; difference \$1,520.
C	Dropped element	Drops the marginal rate from the deduction's value.
D	Wrong stem number	\$480 is the deduction's savings, not the difference.

4. Answer A Concept 2 · transfer

A taxpayer in the 24% bracket wants to know how large a deduction would save the same tax as a \$600 credit. What deduction amount is needed?

Target word: solve for equivalent deduction **Decides:** $\text{Deduction} \times 24\% = \600 .

A	Correct	$\$600 / 0.24 = \$2,500$.
B	Adjacent category	Adds 24% of the credit to the credit; not how deductions work.
C	Confusion set	Treats a deduction as worth the same as a credit.
D	Inverted operation	Multiplies \$600 by 24% instead of dividing.

5. Answer C Concept 3

A single teacher's standard deduction this year is \$15,000. She paid \$8,000 in mortgage interest, \$6,000 in deductible state and local taxes, and gave \$2,500 to a qualified charity. ~~She also spent \$4,000 on a new laptop for personal use and adopted a rescue dog.~~ What total deduction should she claim?

Target word: deduction to claim **Decides:** Itemized total \$16,500 vs. standard \$15,000.

A	Inverted operation	Adds the standard deduction to itemized deductions; you choose one.
B	Dropped element	Drops the comparison; itemizing is larger.
C	Correct	$\$8,000 + \$6,000 + \$2,500 = \$16,500$, which exceeds \$15,000.
D	Camouflage	A personal laptop is not deductible.

6. Answer C Concept 4

A graphic designer ~~who lives in a lakeside town~~ had gross income of \$90,000. She made a \$6,000 deductible traditional IRA contribution, paid \$2,000 of deductible student loan interest, and paid \$9,000 of mortgage interest. ~~She also received a \$500 gift from her aunt.~~ What is her adjusted gross income?

Target word: AGI **Decides:** Only above-the-line items reduce AGI.

A	Adjacent category	Also subtracts mortgage interest, an itemized deduction taken after AGI.
B	Dropped element	Leaves out the student loan interest adjustment.
C	Correct	$\$90,000 - \$6,000 - \$2,000 = \$82,000$; mortgage interest is itemized, below the line.
D	Camouflage	Adds the gift; gifts received are excluded from gross income.

7. Answer D Concept 5

A sole proprietor who runs a popular food truck reported \$50,000 of net profit on Schedule C. ~~He works about 60 hours a week and bought a new truck wrap this year.~~ He has no wages from other jobs. What is his self-employment tax?

Target word: SE tax **Decides:** $15.3\% \times (92.35\% \times \$50,000)$.

A	Adjacent category	That is the half he deducts for AGI, not the full tax.
B	Confusion set	7.65% of \$50,000 — only the employee share rate.
C	Dropped element	Applies 15.3% to full net profit, dropping the 92.35% factor.
D	Correct	$\$50,000 \times 0.9235 = \$46,175$; $\times 15.3\% \approx \$7,065$.

8. Answer D Concept 6

A retired couple ~~who winter in Arizona~~ has a tax liability of \$1,200 before credits and no withholding. They qualify for a \$2,000 nonrefundable credit. ~~Their accountant has prepared their returns for twenty years.~~ What is the result?

Target word: effect of nonrefundable credit **Decides:** Credit can reduce tax only to zero.

A	Inverted operation	Subtracts in the wrong direction: $\$2,000 - \$1,200$.
B	Dropped element	Ignores the credit entirely.
C	Confusion set	Treats the credit as refundable.
D	Correct	A nonrefundable credit stops at zero; the extra \$800 is lost unless a carryforward rule applies.

9. Answer A Concept 6 • transfer

A taxpayer owes \$1,200 before credits, had no withholding, and qualifies for a \$2,000 refundable credit. What is the outcome?

Target word: effect of refundable credit **Decides:** Refundable credits can exceed tax owed.

A	Correct	\$2,000 – \$1,200 = \$800 paid out.
B	Inverted operation	Applies the nonrefundable rule.
C	Adjacent category	Adds the liability to the credit.
D	Wrong stem number	The full credit; it first offsets the \$1,200 owed.

10. Answer A Concept 7

A junior tax researcher ~~at a mid-sized CPA firm with offices in three states~~ is answering a client's question about deducting home office expenses. She has found a well-known tax treatise, a revenue ruling, a private letter ruling issued to another taxpayer, and the relevant Internal Revenue Code section. Which source carries the most authority?

Target word: highest authority **Decides:** The Code is primary statutory law.

A	Correct	Statute enacted by Congress is the highest source.
B	Confusion set	A secondary source; helpful but not authority.
C	Adjacent category	Binds only for the taxpayer who requested it.
D	Absolute language	Revenue rulings rank below the Code and regulations and can be overturned by courts.

11. Answer B Concept 8

An investor ~~who follows a popular finance podcast~~ bought shares of a tech company on January 5 and sold them on November 20 of the same year for a \$4,000 gain. ~~The company had just announced record earnings.~~ How is the gain taxed?

Target word: character of gain **Decides:** Held one year or less.

A	Absolute language	No such exclusion for stock gains.
B	Correct	Held about 10 months — not more than one year.
C	Camouflage	Company news does not affect gain character.
D	Inverted operation	Long-term treatment needs a holding period over one year.

12. Answer C Concept 8 • transfer

A taxpayer wants a stock gain to qualify for long-term capital gain rates. What holding period is required?

Target word: holding-period threshold **Decides:** More than one year.

A	Inverted operation	One year or less is the short-term definition.
B	Wrong stem number	Too short; that would still be short-term.
C	Correct	Long-term treatment requires holding the asset more than one year.
D	Adjacent category	Longer than needed; five years applies in other contexts, not this one.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	5	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Marginal vs. average tax rate	The marginal rate applies to the next dollar of taxable income; the average (effective) rate is total tax / taxable income, and with progressive brackets it is below the top marginal rate.	Applying the top bracket rate to all income.	A bracket schedule and a question about “rate” on the whole income vs. an extra dollar.
2	Deduction vs. credit	A deduction reduces taxable income, saving deduction × marginal rate; a credit reduces tax dollar for dollar.	Treating a \$1,000 deduction as worth \$1,000 of tax.	A same-size deduction and credit compared, with a marginal rate given.
3	Standard vs. itemized deductions	A taxpayer claims the larger of the standard deduction or total allowable itemized deductions, not both.	Adding the standard deduction to itemized deductions, or counting personal expenses.	A list of personal expenses plus a standard deduction amount.
4	Deductions for AGI vs. from AGI	Adjusted gross income = gross income – above-the-line deductions (such as deductible IRA contributions, student loan interest, half of SE tax); itemized deductions come after AGI.	Subtracting itemized deductions such as mortgage interest to reach AGI.	A mix of adjustments and itemized items with a question about AGI.
5	Self-employment tax	A sole proprietor pays SE tax of 15.3% on 92.35% of net self-employment earnings (below the Social Security wage base) and deducts half of it for AGI.	Applying 15.3% to the full net profit, or using only the 7.65% employee share.	Schedule C net profit and a question about SE tax.
6	Refundable vs. nonrefundable credits	A nonrefundable credit can reduce tax only to zero; a refundable credit can create a refund beyond tax owed.	Assuming any unused credit is paid out as a refund.	A credit larger than the tax liability.
7	Sources and weight of tax law	The Internal Revenue Code is the primary statutory authority; Treasury regulations interpret it; revenue rulings and court cases follow; treatises and articles are secondary sources, and a private letter ruling binds only for the taxpayer who requested it.	Treating a private letter ruling or a tax treatise as binding precedent.	A research question asking which source carries the most authority.
8	Capital gain holding period	Assets held more than one year produce long-term gains taxed at preferential rates; held one year or less, gains are short-term and taxed at ordinary rates.	Calling any investment gain long-term or preferentially taxed.	Purchase and sale dates for an investment.

Course scope (public description): This course focuses on the taxation of individuals. It provides an overview of income taxes of both individuals and business entities in order to enhance awareness of the complexities and sources of tax law and to measure and analyze the effect of various tax options. The course will introduce taxation of sole proprietorships. Students will learn principles of individual taxation and how to develop effective personal tax strategies for individuals. Students will also be introduced to tax research of complex taxation issues.